AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

APRIL/ MAY 2017

Principles of Accounting Paper II

Time: 2 hours 25 minutes Marks: 50

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are NINE questions. Answer ALL questions.

3. When answering the questions:

   Read each question carefully.
   Use only a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Q.1. (Total 4 Marks)

Identify whether the account head has increased **(+)**, decreased **(-)** or not applicable **(N.A)** for each of the following business transactions with reference to the rules of Debit and Credit.

[**Note:** The first transaction has been done for your assistance]

Transaction	Assets	Liability	Capital
The owner invested cash in the business.	**+**	**N.A**	**+**
The owner purchased supplies worth Rs 1,500 on account from Mr Ali for the business.			
The owner paid Rs 15,000 to Mr Ali.			
The owner withdrew cash Rs 5,000 from the business for personal use.			
The owner brought car for Rs 250,000 for business use.			

Q.2. (Total 4 Marks)

Calculate the missing figures with the help of the accounting equation. (Show all the working)

S. No.	Assets	Liability	Capital
1.	Rs 15,000	Rs 3,000	?
2.	?	Rs 12,500	Rs 72,500
3.	Rs 45,500	?	Rs 17,500
4.	Rs 15,000	Rs 10,000	?

1. _____

_____

2. _____

_____

3. _____

_____

4. _____

_____

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Q.3. (Total 6 Marks)

Identify and define the accounting concepts and fundamental accounting assumptions applicable for the given business scenarios.

[**Note:** The first transaction has been done for your assistance]

S. No.	Business Scenario	Identification	Definition
1.	**Imperial Traders will receive consulting fee for providing consultation to a retail outlet for their business operation.**	**Accrual**	**Income is recognised when earned regardless of when collected, and expenses are recognised when incurred regardless of when paid.**
2.	Aleem Traders is in the phase of growth. They have signed a long term agreement with an educational institution for providing all academic supplies of books and stationery.		
3.	Ahmed purchased new machinery for his plant extension. The accountant proposed to depreciate the machine by 20% diminishing balance method as they were applying similar rates and method on other equipment and machinery.		
4.	ABC Co. will take over all the assets and liabilities of XYZ Co. at the current market value. XYZ Co. is asking ABC Co. to pay for better labour productivity which has earned XYZ Co. a good market reputation but ABC Co. is not considering this at the time of valuation.		

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Q.4. (Total 6 Marks)

The following account balances are taken from the books of Al-Munaza Store.

Particular	Amount (Rs)
Sales revenue	150,000
Sales returns	1,500
Purchases	110,000
Purchases return	1,200
Merchandise inventory opening	15,500
Merchandise inventory ending	25,500
Salaries expense	12,500
Supplies expense	10,500
Rent expense	8,500

Use the given data to prepare the classified Income statement for Al-Munaza Store.

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Q.5. (Total 5 Marks)

The following transactions has been taken from the books of Al-Hamra Traders.

- A customer deposits Rs 7,500 into the bank account directly.
- A cheque issued to vendor for Rs 5,500.
- Cash of Rs 500 withdrew for personal use.
- Paid wages to workers for Rs 4,500.
- A cheque of Rs 5,500 received from a customer was deposited into the bank on the same day.
- Cash deposited into bank Rs 5,200.

Post the above transactions in the given cash book format. The opening balances of cash and bank are mentioned in the format.

[**Note:** The first transaction has been done for your as assistance]

Date	Particular	P.R	Cash	Bank	Date	Particular	P.R	Cash	Bank
	Balance b/d		**15,000**	**25,000**					
	Directly deposited			**7,500**					

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Q.6. (Total 5 Marks)

The following table represents the weekly details of the petty cash expenditures of Aslam Traders for the 4th week of March 2017.

Date	Day	Petty Cash Transactions
March 27, 2017	Monday	Postage & stamps Rs 250, donation Rs 20, auto rickshaw fare Rs 150, tea and snacks Rs 120.
March 28, 2017	Tuesday	Data entry register Rs 350, ballpoints and pencils Rs 50, loading unloading charges Rs 500, Ice Rs 10.
March 29, 2017	Wednesday	Courier service charges Rs 150, wages for cleaning Rs 50, donkey cart fare Rs 450, intercity bus fare Rs 200.
March 30, 2017	Thursday	Lunch Rs 400, card sheets and cardboards Rs 350, laundry charges Rs 250, taxi fare Rs 150.
March 31, 2017	Friday	Donation for mosque Rs 500, lunch for guests Rs 750, postages Rs 75, replacement of an electric socket Rs 25.

Record the above transactions in the petty cash book and close the petty cash book on March 31, 2017 and transfer the balance on April 01, 2017.

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Aslam Traders

Petty cash book

For the 4th week of March 2017

Cash receipts	Date	Particulars	Vouchers no.	Total amount	Conveyance	Stationery	Potage & Telegram	Carriage and Cartage	Entertainment	Miscellaneous Expense
5,000	**27.03. 2017**	**Cash**								

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Q.7. (Total 8 Marks)

The following particulars have been taken from the records of a trader for the year ended December 31, 2015.

Particulars		**Amount (Rs)**
Trade receivables (accounts receivable)	Jan 01, 2015	17,500
Trade receivables (accounts receivable)	Dec 31, 2015	13,300
Trade payables (accounts payable)	Jan 01, 2015	18,700
Trade payables (accounts payable)	Dec 31, 2015	12,300
Receipts from customers		113,000
Receipts from cash sales		3,500
Payment to trade payables (accounts payable)		67,000
Purchases on cash		2,000
Discount received		1,000
Discount allowed		1,200
Bad Debts written off		1,500
Amount transferred from sales ledger control account to purchase ledger control account		500

a. Calculate total net purchases for the year ended December 31, 2015. (4 Marks)

b. Calculate total net sales for the year ended December 31, 2015. (4 Marks)

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Q.8. (Total 6 Marks)

On December 31, 2016, the following records related to the sales and trade receivables (accounts receivable) were extracted from the books of Al-Ameer Traders:

Particulars	**Amount (Rs)**
Total sales (including cash sales Rs 160,000)	780,000
Trade receivables (accounts receivable) ending balance	190,000
Unadjusted bad debts write off	6,800
Allowance (provision) for doubtful accounts opening balance	8,300

Prepare the necessary adjusting entries to record bad debts expenses assuming that the company estimates the allowance (provision) for doubtful accounts equal to:

a. 2.5% of credit sales

b. 10% of trade receivables (accounts receivable)

Date	Particulars	P.R	Debit	Credit

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Q.9. (Total 6 Marks)

On January 01, 2014, Al-Isaar & Co purchased plant machinery at a list price for Rs 1,500,000 with estimated scrap value of Rs 100,000 and useful life of 10 years.

The company uses straight line method for recording depreciation. The accounting year of the company ends on June 30 each year.

Complete the following table for 2014, 2015 and 2016.

Particulars	Year 2014	Year 2015	Year 2016
Cost			
Depreciation			
Allowance for depreciation			
Book value			

Space for Computations or Working:

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